Wood Health - Form 10-K Extract (Fiscal 2024)

Item 1. Business

Wood Health is a healthcare company operating through three reportable segments: Medical Devices,

Diagnostics and Pharmacy Services. Our principal executive offices are located in Nashville, Tennessee. As of the end of fiscal 2024, we employed approximately 7,272 people worldwide. We sell to customers in more

than 43 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- Acquisitions may not deliver the expected synergies and could divert management attention. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Climate-related regulation and physical risks may increase our operating costs. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. We have experienced such events in the past and expect to continue to face them.

- Intense competition could reduce our market share or force us to lower prices. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. We have experienced such events in the past and expect to continue to face them.

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Insurance coverage may not be sufficient to cover all losses arising from these risks. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. Insurance coverage may not be sufficient to cover all losses arising from these risks. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- A downturn in global economic conditions could reduce demand for our products. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2024 was $27,096 million, an increase of 13.1 percent compared with the prior year. Operating margin was 23.4 percent and net income was $5,014 million. The Medical Devices segment was our largest, contributing $11,663 million of revenue.

Segment revenue:

- Medical Devices: $11,663 million
- Diagnostics: $11,316 million
- Pharmacy Services: $4,117 million

Results reflected volume growth partly offset by higher input costs.

Liquidity and Capital Resources

Long-term debt totalled $15,757 million, and cash and cash equivalents were $9,558 million. Capital expenditures were $2,539 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $0.48 per share and authorised a $1,540 million share repurchase programme. We believe existing cash, operating cash flow and our revolving credit facility will be sufficient to fund operations for at least the next twelve months.